

SBS pitch deck

PITCH — SBS — VERDICT

ADJUDICATED 2026-08-15 — NO POSITION, WATCH: we do not buy Sabesp today, but the reason we first gave for not buying it turned out to be wrong, so the case is being re-argued on a corrected record.

What we believe

Sabesp is the water and sewer utility for the state of São Paulo, privatized in July 2024. The ADR (SBS) trades at \$4.55, about 36% below its 52-week high and 9% off the 52-week low; the local shares (SBSP3) are at R\$23.79.

Our original idea was simple: the stock has fallen a long way, so the expensive-ness that kept us out before must be gone. That idea is dead. The share price fell 31% over the year, but the company borrowed heavily at the same time — net debt went from about R\$23bn to R\$34.2bn, a 48% increase, with R\$6.4bn of that added in the first six months of 2026 alone. When you buy a stock you are effectively buying the equity *and* assuming the debt. Add the two together and the whole business is valued at roughly R\$115bn, or about 8.25 times a ~R\$14bn annual cash-earnings run rate. The last time we looked at this name we said 7.4x was the level at which it stopped being expensive. So the enterprise is not cheaper than it was. On the adjusted earnings series it is more expensive. The share price fell; the price of the *business* did not.

What we now believe, after a third review that overturned part of our own case: this is not a broken company, and it is not a permanent value trap. It is a utility building an enormous asset base — the regulated asset base it earns a return on grew from R\$11.0bn to R\$19.0bn in six months — funded with debt, and paid for that build with a delay. The argument is about how long that delay is and whether 8.25x is a fair price for it. On our corrected reading the delay is roughly one year, not five. That makes the name materially more interesting than our first verdict implied, and it is why the case has been sent back rather than closed.

We also believe the profit picture got worse in a way we initially mis-explained. Adjusted operating cash earnings fell 3.2% on 6.7% higher adjusted revenue, so margin dropped from 64.2% to 58.3% — nearly six percentage points — because operating costs excluding depreciation rose 24.5%. We first told ourselves this was purely a financing-line problem. It was not; roughly half of it is operating.

What the market believes

The market is bullish and well-informed. This is not a neglected stock. Analysts cover it heavily, the consensus target is about R\$34 and XP's is R\$38.30, against a R\$23.79 share price — the street thinks the stock is roughly 40% too low. So there is no “nobody is looking” story here.

The market's reasoning, as best we can reconstruct it: the debt-funded build is real and will eventually be remunerated, so today's leverage is an investment, not a wound. Meanwhile the price has fallen because near-term cash earnings are going backwards — the financing line swung from –R\$118m to –R\$1,016m as debt and rates bit — and because there are open questions about how the regulator treats the company at the next big tariff reset.

What the market does *not* appear to believe is that the October governor's election matters to this stock. We assumed it did. We were wrong, and this is the single most important correction in the file.

Why we might have edge

Three places where our work found something the tape does not obviously reflect:

1. We read the actual signed contract, and the market's shorthand (and ours) was reading the wrong document. The widely circulated version of the concession contract is the February 2024 *consultation draft*, which describes the asset base being revalued only at multi-year revision points. The signed August 2024 contract, Annex V clause 3.7, says the equilibrium tariff is updated **annually** during the first two cycles. Sabesp's own 20-F says the same in plain English: "In the first two cycles, the RAB will be updated annually." And the arithmetic corroborates it — the January 2026 tariff increase was 6.11% against trailing inflation of 4.26–4.68%, i.e. about 1.5 percentage points *above* inflation, which cannot happen under a pure inflation-only formula. The lag between spending capital and being paid for it is about a year, not "nothing until November 2029."

2. We can price the election properly and most commentary cannot. Prediction markets have Tarcísio at 93.5% and five polling houses cluster on a 15–19 point lead, roughly 3.5 standard deviations. That is a real signal. It is also uncollectable: at 93.5% you risk 14.4 units to win 1. And separately, the stock never priced the risk in the first place — see the next section.

3. We have the leverage arithmetic done from the primary filing rather than from a screen. We pulled the 2Q26 6-K itself ([SEC filing](#)) and completed the balance sheet past where our own evidence extract was truncated: borrowings R\$5,289,831k current plus R\$46,367,971k non-current, less R\$4,243,477k cash and R\$13,197,409k financial investments, gives R\$34.2bn net debt — which ties exactly to management's own commentary of "R\$34 billion in 2Q26 versus R\$23 billion in 2Q25." Screens that quote a headline P/E on this name are describing a different security than the one you would actually own.

Why it might be priced in

The election gate — which was our headline reason to wait — collects nothing. Four independent tests found no election sensitivity in the stock at all. A regression on election odds produces a maximum t-statistic of 1.09 (i.e. noise). The decisive test is the level test: roughly 35 points of Haddad-victory risk were retired over the period, and across that same window SBSP3 fell 30% and underperformed its peers Sanepar and Copasa by 19.4 points. A stock that was carrying an election discount goes *up* as that risk drains away; this one went down and lagged. Ten dated campaign events

were checked and none moved the stock more than two standard deviations — including the day Haddad said he would “review the clauses” of the concession, on which Sabesp’s own move was **+0.32%**. Total election content in the R\$10.22 gap between consensus and spot: about **R\$0.12**. Waiting for October buys us nothing, because there is no discount there to collect.

The bull case is the consensus case. Street targets 40% above spot mean the “paid-later asset base compounds into a re-rating” story is the *majority* view, not our discovery. If we are right about the annual updates, we are agreeing with people who already own it.

And the genuine bear case is narrower and more specific than we first argued — but it is real, and it is not obviously in the price. The allowed return is frozen at 11.91% real pre-tax until January 2030 and is not re-openable even under an extraordinary revision, so if capital costs rise the company eats it. There is an efficiency factor (“Factor U”) that can cut up to 10% a year off the allowance. There are hard May and August asset-valuation cutoffs — capital spent on the wrong side of a date waits a full extra cycle. And the emergency revision valve only opens if solvency is actually compromised, which is not a valve you want to be relying on. That, not “no remuneration until 2029,” is the honest short case.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“The de-rating already happened — the stock is down, so it’s cheap”	Rebuilt enterprise value from the 2Q26 6-K balance sheet, both review teams independently	Net debt R\$34.2bn (+48% y/y); enterprise value ~R\$115bn = ~8.25x adjusted cash earnings, above our own 7.4x “cheap” line	Refuted. The original trigger was an equity-price claim dressed up as a business-value claim
“Capital spending earns nothing until the 2029 reset” — our own fatal objection	Both teams cited the concession contract; the third review read the <i>signed</i> August 2024 text plus the 20-F	Both our benches read the February 2024 consultation draft. The signed contract (Annex V 3.7) updates the tariff annually in the first two cycles. The lag is ~1 year	Our error — and it was load-bearing. The 8/10 rejection rested on it. This is why the case was re-opened rather than closed
The same objection, checked by the second team	Second reviewer’s own notes	Second reviewer flagged: “I did not independently read the contract — citation-cascade risk.” It sustained the point anyway	Process failure caught in-house. The flag was raised and then overridden. Our rule is that a flagged-unread source cannot carry a fatal finding
“The election is the gate to wait for”	Four independent tests: odds regression, peer-relative level test, ten dated event studies, single-headline test	No election sensitivity anywhere. Election explains ~R\$0.12 of a R\$10.22 gap	Our error. Both teams made this the primary re-entry gate. Gate retired as <i>irrelevant</i>, not as resolved
“Earnings are flat; the problem is only the	Income statement, 6-K	Financing line confirmed (–R\$118m → –R\$1,016m), but margin also fell 590bps	Confirmed in part — our cause diagnosis

Claim	How checked	Found	Confirmed?
financing line”		on 24.5% cost growth	was about half wrong
“Headline revenue grew 13.9%”	Same statement	Reported revenue is inflated by construction-accounting revenue; the “growth” is largely the debt-funded building programme booked as sales. Adjusted revenue grew 6.7%	Confirmed — headline is not a usable growth number here
“Nobody covers this / it’s an orphan”	Coverage check	Consensus R\$34, XP R\$38.30 — heavily covered, street bullish	Refuted. The mispricing-through-neglect framing does not apply
Re-entry trigger: “net debt flat or falling quarter-on-quarter”	Second team pulled the December 2025 debt note we had missed (R\$40.1bn gross)	Net debt is running +R\$6.4bn per half against ~R\$20bn/yr committed spending. This condition cannot print before 2027	Refuted — dead gate. Setting it would have parked the name behind a condition that cannot occur
10% Brazilian withholding tax on dividends is a cost	First team called it a sizing penalty; second team checked US foreign-tax-credit treatment	Creditable in this account; net drag ≈ 0 , timing only	First team overstated it. Downgraded to immaterial
“The stock touched our \$4.51 alert level”	Live quote	Live \$4.55–4.60; the level was never reached — the alert fired ~2% early	Refuted. Also: the 1-for-5 split around 29 Apr 2026 makes any pre-May price band unusable unless restated
Live tape	Broker quote permission was denied to both review teams ; granted later in the third pass	Corrected to \$4.55 / R\$23.79 (both teams had used a stale R\$24.28). The valuation conclusion survives at 8.25x	Confirmed after correction — but two full reviews ran on an unverified quote
Detector coverage roll-call	Second team audited the first team’s list	First team listed two checks it had not run and omitted two it had. No effect on the verdict	Sloppiness, recorded. Coverage lists are supposed to be auditable
“Earnings keep falling regardless”	Rate path	Policy rate at 14.00% and falling mechanically reverses part of the –R\$899m floating-rate swing at unchanged debt	Overstated by the first team. Softened

PROPOSED ENTRY BANDS

There is no entry today. Position: flat. Size: 0% of book. Conviction on “not now”: 8/10.

The reopen conditions below are reproduced word-for-word from the adjudication and are the operative gates:

- RE-COURT ENQUEUED on the corrected record: annual-RAB-update frame vs frozen-11.91%-WACC + Factor U + margin compression — is a ~1yr-lag regulated compounder at 8.25x EV/EBITDA cheap or fair?

- JAN-2027 REAJUSTE = the new primary tripwire: its real component is a dated mechanical readout on RAB remuneration AND the first tariff decision under the new governor
- election gate RETIRED (irrelevant, not resolved — no discount existed to collect)

Reference levels derived from our own reviewers' arithmetic, for context only — these are *not* standing orders and none of them is a buy trigger on its own:

- **8.25x** is where the business trades today (enterprise value ~R\$115bn ÷ ~R\$14bn). Our prior “stops being expensive” line was **7.4x**.
- The first team's own threshold of **7.0x on unchanged net debt** implies an enterprise value of ~R\$98bn, an equity value of ~R\$63.8bn, and therefore roughly **R\$18.65 / \$3.57 per share**. That is about 22% below spot and below the 52-week low of \$4.18. Stated so we know what our stated bar actually costs — not proposed as a limit order.
- The first team's third condition — **adjusted margin back above ~61% at the 3Q26 report, with the R\$403m reported-versus-adjusted earnings bridge disclosed** — survives the correction and remains a live diagnostic.
- The legacy gate “Tarcísio win with SBSP3 ≤ R\$25” is **retired**. Its price leg (R\$25, ~5% above spot) is not independently meaningful and should not be treated as a buy level.

Catalyst dates: 4 Oct 2026 São Paulo first round (runoff 25 Oct) — now a monitoring date only, not a decision date. ~5 Nov 2026, 3Q26 results (date is derived from a data vendor, **not confirmed by the company**). December 2026 / January 2027, ARSESP publishes the annual tariff adjustment — this is the one that matters. January 2030, the frozen allowed return expires. November 2029, first full tariff reset.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 25.0 (deck-provisional: SBSP3 legacy election-gate price leg; RETAINED AS A MARKER ONLY — its election logic is retired and it)
- filing watch: 6-K until 2027-02-14 (deck-provisional: 3Q26 results (~2026-11-05): net debt level, adjusted margin vs the 61% bar, and disclosure of the R\$40)
- dated pack SBS|2026-10-04: SP gubernatorial first round (runoff 10/25): the SBS re-court gate. Tarcisio win + SBSP3 ≤ R\$25 = the RAB-compounder entry court (2029 RTO)
- dated pack SBS-REAJUSTE|2027-01-15: Jan-2027 Sabesp reajuste (ARSESP, ~Dec-26/Jan-27 publication): THE tripwire — its real component (vs IPCA 12m) is a mechanical readout on wh
- dated pack SBS|2026-11-05: SBS: 3Q26 results — vendor-derived date, not confirmed by any company release (date confirmed=False)
- dated pack SBS|2027-01-15: SBS: Jan-2027 Sabesp tariff adjustment (ARSESP, published ~Dec-26/Jan-27) — the primary tripwire and the first tariff decision under the new

- dated pack SBS|2029-11-01: SBS: first full tariff revision (RTO) — the point at which the whole capital build is repriced (date confirmed=False)
- dated pack SBS|2030-01-01: SBS: frozen 11.91% real pre-tax allowed return expires; not re-openable before then (date confirmed=False)

What remains unverified

- **The annual asset-base update rests on one arithmetic confirmation.** The contract clause and 20-F language are read and quoted; the *economic* effect is evidenced by a single tariff decision (Jan-2026, 6.11% versus 4.26–4.68% inflation). One observation is not a pattern.
 - **The emergency revision clause.** The first team explicitly listed “any in-cycle extraordinary revision mechanism I missed” as an open item. We know it exists and is conditioned on solvency being compromised; we have not read it end to end.
 - **Whether our old 7.4x benchmark was struck on reported or adjusted earnings.** On the reported series today’s comparable is ~7.5x — essentially flat, not worse. The “no re-rating happened” conclusion holds either way; “the enterprise got more expensive” holds only on the adjusted series.
 - **The ~R\$14bn earnings run rate** is our annualisation, not a company figure. The valuation is proportionally sensitive to it.
 - **Consensus R\$34 / XP R\$38.30** — dates and composition not verified; some may predate the 2Q26 report.
 - **Polling** was read at the aggregate level (five houses, +15–19). We did not open the individual polls.
 - **The construction-accounting revenue split** is inferred from the gap between reported and adjusted revenue rather than read off a disclosed reconciliation.
 - **The concession contract PDF we first worked from** (semil.sp.gov.br) is the February 2024 consultation draft. It is cited here so the error is traceable, not as authority. The signed August 2024 text governs.
 - **Environmental and physical-asset checks did not run** — no satellite, imagery, or emissions coverage was available this session. Judged non-decisive, but unrun is unrun.
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